



Qualification Programme Examination Panelist's Report

Module 8 – Principles of Auditing (June 2025 Session)

(The main purpose of the following report is to summarise candidates' common weaknesses and make recommendations to help future candidates improve their performance in the examination.)

(I) Section A – Multiple Choice Questions

General Comments

The multiple choice questions covered the legal and regulatory framework governing the auditing profession in Hong Kong, principles of professional ethics, audit strategies, audit evidence, audit risk model, detection risk, computer-assisted audit techniques (CAATs) and communications with those charged with governance.

In general, candidates' performance was satisfactory except for questions relating to the regulatory framework, audit risk model and CAATs.

Specific Comments

Candidates showed weaknesses in the following areas:

- The updated legal and regulatory framework
- The application of the audit risk model
- The key features of different CAATs

(II) Section B – Written Questions

General Comments

The written questions covered the key ordinances governing auditors in Hong Kong, overall audit objectives, phases of an audit, audit strategy, audit plan, risk assessment procedures, categories of audit procedures, subsequent event review, determination of audit opinion, emphasis of matters and other matters paragraphs, assessment of key audit risk of inventory, and application of substantive procedures on inventory as well as accounts receivable.

Candidates performed better on questions which are straightforward or with similar content from past papers such as overall audit objectives, phases of an audit, categories of audit procedures, risk assessment procedures, and determination of audit opinion. However, they did not perform well on the rest of the questions, possibly due to insufficient studying of the subject materials, and misinterpretation of the question requirements.



Specific Comments

Question 1(a) – 6 Marks

This question required candidates to explain who could appoint the first auditor for a newly incorporated private company. Many candidates correctly identified that the shareholders and the directors could appoint the auditor and a few of them also recognised that the court could also do so. However, most candidates failed to explain the situation under which the shareholders, the directors, or the court appointed the auditor.

Question 1(b) – 5 Marks

This question required candidates to describe the overall objectives of the auditor in conducting a financial statement audit. Candidates generally performed well on this question.

Question 1(c) – 4 Marks

This question required candidates to describe four key rights of the auditor in carrying out a financial statement audit. Most candidates were only able to list two relevant rights. Some candidates also mixed up the rights and duties of the auditor.

Question 1(d) – 2 Marks

This question required candidates to list the two remaining most important ordinances in Hong Kong that govern the auditor in Hong Kong, excluding the Hong Kong Companies Ordinance. Most candidates were not able to list out the other two ordinances. Performance was poor.

Question 2(a) – 2 Marks

This question required candidates to list the two remaining phases of a financial statement audit, excluding the risk assessment phase. This is a straightforward question and performance was satisfactory.

Question 2(b) – 4 Marks

This question required candidates to explain the relationship between an overall audit strategy and an audit plan. Some candidates were able to explain the relationship between an audit strategy and an audit plan. However, most of them lacked the ability to elaborate further to achieve higher marks.



Question 2(c) – 6 Marks

This question required candidates to list four key matters the auditor should consider in establishing an overall audit strategy. This is a straightforward question but the performance was poor. It seems candidates did not put enough effort into studying audit strategies.

Question 2(d) – 2 Marks

This question required candidates to define risk assessment procedures. Performance was satisfactory.

Question 2(e) – 2 Marks

This question required candidates to identify the two remaining categories of audit procedures, excluding risk assessment procedures. Performance was satisfactory.

Question 2(f) – 3 Marks

This question required candidates to list three additional risk assessment procedures, other than enquiry. The candidates performed well on this straightforward question.

Question 3(a) – 2 Marks

This question required candidates to describe the key audit risk of inventory based on the case information. Most candidates were not able to provide case specific answers to the question but vague responses.

Question 3(b) – 3 Marks

This question required candidates to list three assertions of the inventory that are at a higher risk of material misstatements. Performance was satisfactory.

Question 3(c) – 4 Marks

This question required candidates to describe four audit procedures to ensure the year end inventories are stated at the lower of cost and net realisable value. This is a straightforward question. However, some candidates overlooked the question requirements and described their familiar audit procedures for inventories such as inventory count and cut-off test instead. Performance was fair.



Question 3(d) – 10 Marks

This question required candidates to list four initial audit procedures to be performed on a list of accounts receivable obtained from the client before selecting samples from the list of accounts receivable to perform debtor circularisation and explain the purpose of each audit procedure. This question is straightforward, focusing on the initial audit procedures on the data integrity of the list of accounts receivable obtained. However, most candidates misinterpreted the requirements of the question and listed out the audit procedures in verifying the different assertions related to accounts receivable. Performance was poor.

Question 4(a) – 4 Marks

This question required candidates to describe the objectives of carrying out the subsequent event review. Most candidates demonstrated some knowledge of the subsequent event review objectives but they struggled to describe them clearly.

Question 4(b) – 6 Marks

This question required candidates to describe four possible audit procedures in carrying out the subsequent event review. Most candidates were only able to provide some relevant audit procedures and therefore not able to earn full marks.

Question 4(c) – 4 Marks

This question required candidates to contrast an "emphasis of matter paragraph" with an "other matter paragraph". Most candidates demonstrated a good understanding on the "emphasis of matter paragraph" but not the "other matter paragraph". A few candidates mixed up "other matter paragraph" with "other information" or "key audit matters" in the auditor's report.

Question 4(d)(i) – 5 Marks

This question required candidates to explain the appropriate type of auditor's opinion for the financial statements based on the given information. Most candidates were able to explain the appropriate type of auditor's opinion for the financial statements.

Question 4(d)(ii) – 6 Marks

This question required candidates to explain the appropriate type of auditor's opinion for the financial statements based on the given information. Performance was satisfactory.



(III) Conclusion and Recommendation

Overall, the performance of the candidates were fair. The candidates' performance on the multiple choice questions was satisfactory. The candidates performed less satisfactorily when attempting the written questions.

The candidates displayed a lack of understanding of basic auditing knowledge and statutory requirements on auditing. In general, they did not perform well on the application of their knowledge of Auditing and Accounting Standards.

Candidates are advised to put adequate effort into studying the learning materials before taking this module examination.

Candidates are reminded to read the questions carefully so that they can interpret the question requirements correctly.